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Bitcoin Halvings: Supply, Demand and Statistics

Understanding the current technical supply and demand setup going into the Bitcoin Halving

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The fourth Bitcoin Halving is now a little over a month away. As with all prior halvings, it will reduce bitcoin issuance rewards for miners by half – this time from 6.25 BTC to 3.125 BTC per block. Although studying past halving cycles can offer some insight into bitcoin's potential price action, such studies of previous cycles should be interpreted cautiously, as the small sample size makes it difficult to generalize patterns.

We believe that bitcoin's market dynamics have fundamentally changed with the advent of US spot BTC ETFs. Their stable demand profile could be positive for bitcoin's price over the long run by creating a more balanced market with less volatility from concentrated selling. As a result, bitcoin's response to the upcoming halving may not necessarily mirror its performance in prior cycles. We think it's more important to understand the current technical supply vs demand setup to better understand bitcoin's performance potential.

Indeed, restrictions in new bitcoin supply are just one factor to consider, albeit an important one. Bitcoin available to trade has been in decline since early 2020, a major shift from previous cycles. But recent data suggests that there has been a substantive 1.3M increase in active BTC (that has moved within the past 3 months) since early 4Q23, compared to only ~150k new BTC mined during that time. Although the market is better positioned than in the past to absorb this

source of supply, we think it's still prudent not to oversimplify the complex interplay between these market dynamics.

For more details, see our [full report](#).

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